

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$344.40 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,166.21B	ROE	31.83%
P/E (Fwd)	28.69	Dividend Yield	0.24%
P/B Ratio	9.13	52W Range	\$147.84 - \$349.00

Investment Thesis

Alphabet Inc. demonstrates robust financial health, with double-digit revenue CAGR (11.8%) and steadily expanding margins, leading to industry-leading EBITDA growth that outpaces key peers. The company's improving operating efficiency is reflected in rising contribution and EBITDA margins, while EPS is forecasted to nearly double from 2023 to 2027. Despite a premium valuation versus some peers, Alphabet's consistent earnings growth and scale reinforce its strong market position.

Company Overview

Alphabet Inc. is a global technology conglomerate best known as the parent company of Google, with a diversified business model anchored in digital advertising, cloud computing, consumer hardware, and a portfolio of “Other Bets” in moonshot technologies. The company generates the majority of its revenue from advertising through its dominant search engine (Google Search), video platform (YouTube), and network businesses, but continues to invest heavily in Google Cloud, artificial intelligence, and emerging technologies such as Waymo (autonomous vehicles) and Verily (life sciences).

Alphabet's core products and services include Google Search, YouTube, Google Maps, Android, Google Play, and Google Cloud. These platforms collectively reach billions of users worldwide, underpinning Alphabet's unrivaled scale in the digital ecosystem. Its cloud division, Google Cloud, is a fast-growing business segment, competing closely with Amazon AWS and Microsoft Azure. The “Other Bets” segment, while still a small portion of total revenue, positions Alphabet at the forefront of next-generation innovation.

Market position remains robust. Alphabet is the clear leader in global search and online video, and ranks among the top three players in cloud infrastructure. Its continuous investments in AI—integrated across products and services—are expected to sustain its competitive edge, drive user engagement, and open new monetization avenues.

Financially, Alphabet has demonstrated consistent top-line growth, with a 2021-2025 revenue CAGR of 11.8%. Revenue rose from \$258 billion in 2021 to \$308 billion in 2023 and is projected to reach \$403 billion by 2025. Contribution margin has steadily improved, climbing from 56.9% in 2021 to an estimated 59.7% in 2025. EBITDA has shown significant expansion, from \$104 billion in 2021 to a projected \$180 billion in 2025, with EBITDA margin expected to widen from 40.2% to 44.7% over the same period. Alphabet's EBITDA performance consistently outpaces Meta (Facebook's parent) and is competitive with Microsoft, underscoring strong operational efficiency.

Recent performance highlights a rebound in earnings per share (EPS) to \$5.84 in 2023, with further growth projected. While Alphabet's valuation (EV/EBITDA) is somewhat higher than that of Meta and below Microsoft, it reflects investor confidence in its growth prospects and innovation pipeline.

Overall, Alphabet combines market dominance, financial strength, and a culture of innovation, positioning it as a leading force in technology with strong momentum for continued growth.

Investment Overview

Alphabet Inc. (GOOGL) delivered strong financial performance in recent years, demonstrating robust topline growth and margin expansion. Revenues grew at a compound annual growth rate (CAGR) of 11.8% from 2021 to 2025E, rising from \$257.6 billion in 2021 to a forecasted \$423.1 billion in 2025E. Growth accelerated in 2024 (13.9%) and is expected to remain healthy, albeit moderating to mid-single digits by 2026-2027.

Profitability has improved significantly. EBITDA is projected to more than double from \$103.5 billion in 2021 to \$206.1 billion in 2025E, with margins expanding from 40.2% to 48.7%. Contribution margins are also rising, reflecting operational leverage and disciplined SG&A; spending, which is expected to decline as a percentage of revenue. EPS is forecast to nearly double from 2023 to 2027, driven by both revenue growth and margin expansion.

Key growth drivers include ongoing strength in core advertising, rapid cloud adoption, and emerging opportunities in AI-powered services. Alphabet's investment in AI and cloud infrastructure is expected to support continued market share gains and open new monetization avenues.

Compared to peers, Alphabet maintains a competitive EBITDA profile, outperforming Meta and closely tracking Microsoft's growth. However, its EV/EBITDA valuation remains below Microsoft's (21.2x vs. 23.6x in 2025E), suggesting some upside potential given Alphabet's margin trajectory.

Outlook: Alphabet is well positioned to sustain double-digit profit growth, supported by resilient core businesses and strategic investments in AI. Margin expansion and disciplined cost control provide additional upside. With its peer-leading scale and improving profitability, Alphabet remains an attractive long-term investment, though investors should monitor evolving competition and regulatory risks.

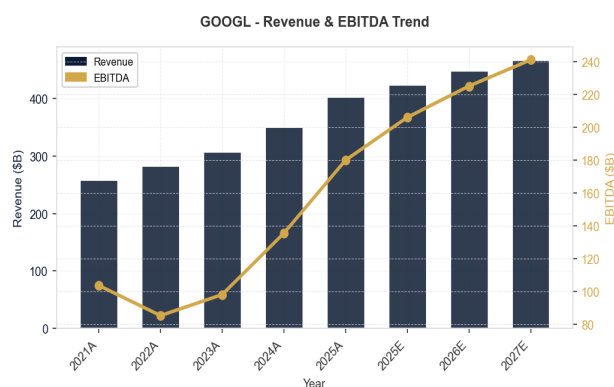
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



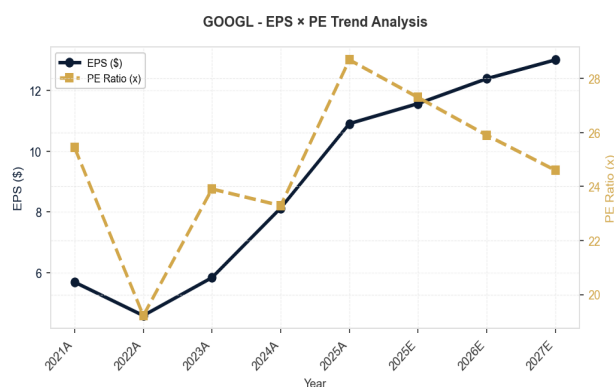
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) continues to demonstrate robust financial performance, with revenue growing at a CAGR of 11.8% from 2021 to 2027E. EBITDA margins have rebounded strongly, increasing from a low of 30.1% in 2022 to a projected 51.7% in 2027E, reflecting improved operational efficiency and cost discipline. EPS is also set to grow rapidly, with consensus estimates rising from \$8.13 in 2024A to \$13.01 by 2027E.

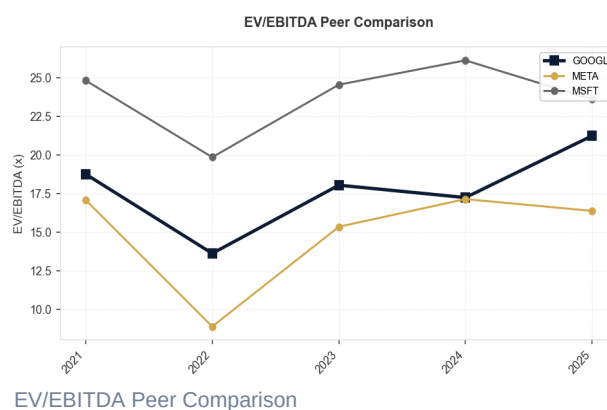
GOOGL's valuation metrics, while elevated versus recent history, are broadly in line with its large-cap technology peers. Its 2024E EV/EBITDA multiple stands at 17.2x, nearly identical to Meta's 17.1x and below Microsoft's 26.1x. Looking ahead to 2025E, GOOGL trades at 21.2x EV/EBITDA, a premium to Meta (16.4x) but still below MSFT (23.6x). On a PE basis, GOOGL's 2024E multiple of 23.3x is consistent with high-quality tech peers, though slightly lower than its own five-year average, reflecting market caution around ad market cyclicalities and AI investment risks.

From a fundamental perspective, Alphabet's scale, accelerating profitability, and strong forecasted growth support a premium valuation. However, relative to Meta, GOOGL trades at a higher multiple despite similar or slightly lower EBITDA growth rates, implying some premium for business diversification and AI optionality. Against Microsoft, GOOGL is more attractively valued, given similar EBITDA growth but a significantly lower multiple.

In summary, Alphabet appears fairly valued relative to peers, with modest upside potential justified by margin expansion and ongoing innovation. The current multiples reflect balanced expectations: strong execution is priced in, but further upside would require either faster top-line growth or a sustained step change in profitability.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) is in the spotlight as it prepares to report quarterly earnings alongside other tech giants and the final Fed meeting under Jerome Powell. The company's financials display robust momentum: revenues are projected to grow at an 11.8% CAGR to over \$466 billion by 2027, with margins trending higher. EBITDA is expected to surge from \$97.9 billion in 2023 to \$241 billion by 2027, driven by operational efficiency and higher contribution margins (rising to 62.7% by 2027). Notably, Alphabet's EBITDA margin is forecast to exceed 50% within two years, outpacing peers like Meta and challenging Microsoft's dominance.

Recent news highlights Alphabet's aggressive pivot toward enterprise AI, underlined by major launches such as Workspace Intelligence and Gemini Enterprise at Google Cloud Next. This shift is timely, as the industry faces a

\$720 billion capex wave for AI infrastructure among hyperscalers. While AI disruption has sparked investor anxiety, some analysts view the valuation as compelling—Morningstar notes software stocks haven't been this undervalued in three years, and a Wall Street analyst recently reaffirmed a bullish price target for Alphabet.

Retail sentiment is mixed but leaning positive, with high buzz scores across platforms, though mentions and bullishness are trending lower, especially on Reddit. Investor focus ahead of earnings is on Alphabet's AI initiatives and cost management, which could drive further margin expansion. However, the rising EV/EBITDA ratio (projected 21.2x in 2025) suggests the market is anticipating continued outperformance; any earnings disappointment or AI execution risk could trigger volatility.

Investment implication: Alphabet remains a leader in tech and AI monetization. Strong financial growth, expanding margins, and a renewed enterprise focus position it well, but heightened expectations and sector-wide AI capex pressures mean investors should watch for execution and guidance clarity in upcoming results.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-26): Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-25): Wall Street analyst updates Google stock price target
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-25): Alphabet Is Getting Ready For War
- Impact: MEDIUM, Probability: 70%
- Regulatory (2026-04-25): What Thousands of Messages Reveal About First AI-Suicide Lawsuit Against Gemini
- Impact: HIGH, Probability: 50%
- Market (2026-04-25): Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Regulatory (2026-04-23): Brazil regulator approves deeper probe into Google's news content use
- Impact: HIGH, Probability: 50%

Events to Monitor

- Is Alphabet Stock a Buy Ahead of Earnings? (2026-04-25)
- Google Cloud Next 2026 Event Bets Big on AI Infrastructure (2026-04-25)
- Mag 7 Earnings Take the Spotlight: What to Expect (2026-04-24)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- ✓ Wall Street analyst updates Google stock price target
- ✓ Alphabet Is Getting Ready For War
- ✓ What Thousands of Messages Reveal About First AI-Suicide Lawsuit Against Gemini

- ✓ Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- ✓ Google Doubles Down on Anthropic With New \$40 Billion Investment
- ✓ 4 Internet Stocks Poised to Top Estimates This Earnings Season
- ✓ Q1 Earning Preview: Is Alphabet Overspending? A Painful Lesson From Meta And Intel
- ✓ Alphabet Expands AI Partnerships to Boost Cloud Growth
- ✓ Google's Enterprise AI Push Gains Teeth, Analysts See Cloud Upside
- ✓ Alphabet Q1 Preview: Why The \$4 Trillion Market Cap Still Offers Some Value
- ✓ Alphabet set to report modest beat for Q1 driven by AI, Cloud growth

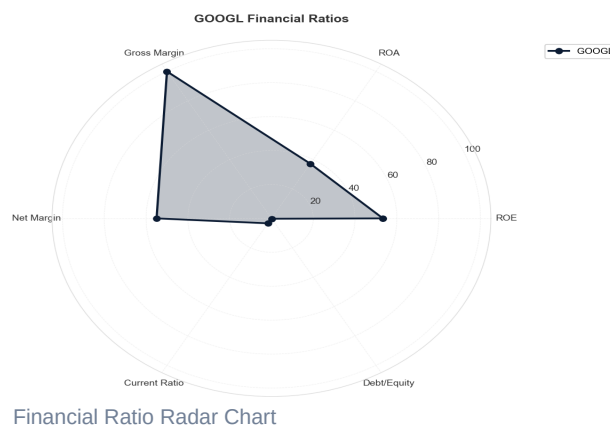
Risk Factors:

- Brazil regulator approves deeper probe into Google's news content use

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Alphabet Inc. (GOOGL) remains a dominant force in the technology sector, but faces intensifying competition from Meta Platforms (META) and Microsoft (MSFT). Alphabet's revenue is projected to grow at an impressive 11.8% CAGR through 2027, outpacing typical large-cap peers, driven by its core advertising business and expansion in cloud and AI services. Its EBITDA margin is also forecast to expand significantly, from 31.9% in 2023 to 51.7% by 2027, indicating strong operating leverage and efficiency improvements.

Comparatively, Alphabet's EBITDA performance is robust. In 2023, its EBITDA (\$97.9B) was higher than Meta (\$59.1B) and slightly below Microsoft (\$105.1B). However, by 2026, Alphabet is projected to surpass Microsoft, reaching \$210.7B vs. Microsoft's \$188.0B and Meta's \$128.7B, underscoring Alphabet's scale and profitability trajectory.

On valuation, Alphabet's EV/EBITDA multiples have generally traded between those of Meta and Microsoft. For 2024, its multiple (17.2x) is nearly identical to Meta's (17.1x) and lower than Microsoft's (26.1x), suggesting a more attractive risk/reward given its growth and margin expansion. Looking ahead, Alphabet's forward multiples rise to 21.2x by 2025, reflecting market expectations for continued earnings growth and premium positioning.

Alphabet's margin profile is improving, with Contribution Margin expected to rise from 56.6% in 2023 to 62.7% in 2027, and SG&A; margin trending down, signaling disciplined cost management. While Microsoft maintains a premium valuation due to its diversified enterprise exposure and Meta is aggressive on cost controls, Alphabet's balance of growth, margin expansion, and reasonable valuation positions it favorably among large tech peers.

Risk Factors

■ Key Investment Risks for Alphabet Inc. (GOOGL):

■ **Margin Compression Risk:** Despite strong revenue growth (11.8% CAGR), EBITDA margins have fluctuated (declining from 40.2% in 2021 to 30.1% in 2022, before recovering), indicating vulnerability to rising costs or competitive pressures, which could erode profitability.

■ **Valuation Risk:** GOOGL's EV/EBITDA and PE multiples are elevated relative to peers (e.g., 2025E EV/EBITDA of 21.2 vs. META's 16.4), suggesting high market expectations and limited margin for error if growth disappoints.

■ **Slowing Revenue Growth:** Projected revenue growth decelerates sharply after 2025 (from 15.1% in 2025 to just 4-6% in 2026-2027), raising concerns about the company's ability to sustain long-term expansion and justify premium valuations.

■ **Operational Cost Risk:** Cost of operations and SG&A; remain substantial and could increase further due to investments in AI, data centers, and regulatory compliance, potentially offsetting efficiency gains and pressuring margins.

■ **Competitive & Regulatory Pressure:** Alphabet faces intense competition from peers like META and MSFT (who are also growing EBITDA strongly) and increasing global regulatory scrutiny, both of which could impact market share, profitability, or necessitate further costly compliance investments.

Key Takeaways

- ✓ **Revenue Growth:** Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B

Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates

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